TERMS OF REFERENCE
MID-MERIT NATURAL GAS CAPACITY AUCTION

The Department of Energy (DOE), through the Natural Gas Auction Committee (NGAC), hereby issues this Terms of Reference (TOR) for the Mid-Merit Natural Gas Capacity Auction pursuant to the relevant provisions of DOE Department Circular (DC) No. DC2026-06-0013, entitled *"Prescribing the Guidelines for the Conduct of the Mid-Merit Natural Gas Capacity Auction for Gas-Fired Power Generation"*, also known as the *"Gas Auction Guidelines."*

The following "***Appendices***" form integral parts of this TOR:

Appendix	Document
A	Bid Security
B	Performance Security
B1	Irrevocable Standby Letter of Credit
B2	Form of Drawing Certificate
B3	Surety Bond

1. GENERAL SUPPLY DESCRIPTION

The Auction shall cover the capacity of new, expanded or upgraded, and existing uncontracted Natural Gas-Fired (NatGas) Facilities capable of supplying mid-merit capacity and the corresponding electricity generation to the grid using indigenous, blended, and/or non-indigenous natural gas as fuel, subject to the eligibility requirements of this TOR.

For purposes of this Auction:

a. **"Auction Capacity Requirement"** refers to the aggregate dependable generating capacity expressed in megawatts (MW), including the corresponding energy expressed MWh of Capacity Factor (CF), as applicable, to be procured through the Auction for subscription by Qualified Bidders.

b. **"Delivery Commencement Year or DCY"** refers to the prescribed year which the Winning Bidder shall commence delivery of the Awarded Gas Capacity and Energy in accordance with the Certificate of Award (COA) and the applicable market and regulatory requirements.

~~c.~~ **"Supply Delivery Period"** refers to the prescribed period under this TOR during which the Winning Bidder shall deliver or make available the Awarded Gas Capacity.

d. **"Delivery Commencement Date or DCD"** refers to the specific date committed by the Qualified Bidder in its bid, following the format

YYYY/MM/DD, on which the delivery of the Awarded Gas Capacity to the grid shall commence.

e. **"Commercial Operation Date or COD"** refers to the date when the NatGas Facility has successfully completed testing and commissioning and is capable of reliable commercial operation and injection of power into the grid, as confirmed by the ERC or other competent authority, as applicable. The COD shall be the reckoning date for the settlement of the injected power to the grid in accordance with Section 18 of this TOR.

f. **"Mid-Merit Operating Period"** refers to the period from 1500H of the current trading day to 0500H of the succeeding trading day. The Mid-Merit Operating Period may be reviewed and adjusted by the DOE, through the NGAC, every three (3) years, or as may be necessary, based on system and grid requirements, market conditions, and other relevant technical, operational, or market considerations, consistent with the WESM Rules, applicable Market Manuals, ERC-approved Settlement Mechanism, and relevant DOE issuances.

g. "**Non-Mid-Merit Operating Period"** refers to the period from 0505H to 1455H of the current trading day. Any adjustments to the Mid-Merit Operating Period by the DOE shall result in a corresponding adjustment to the Non-Mid-Merit Operating Period.

1.1 Auction Capacity and Energy Requirement

The Auction Capacity and/or Energy Requirement and the corresponding DCY for this Auction Round are set out below.

A. Existing Facilities

Lot 1:

Grid	Auction Capacity Requirement	Minimum offer block	Capacity Factor	Delivery Commencement Year	Supply Delivery Period	Delivery Hours
Luzon	1,400 MW	250 MW	38% - 42% (Mid-Merit)	Commencing on 2026	5 years + 5 years extension (subject to retrofitting[1], GAP adjustment[2] and removal of the Non-Mid-Merit Operating Period[3])	14 hours (Mid-Merit[4])
			22% - 24% (Non-Mid-Merit)			10 hours (Non-Mid-Merit)

[1] Conditions are detailed in Section 1.2.1.1.
[2] Conditions are detailed in Section 18.3.
[3] As defined in Section 1.g.
[4] As defined in Section 1.f.

Lot 2:

Grid	Auction Capacity Requirement	Minimum offer block	Capacity Factor	Delivery Commencement Year	Supply Delivery Period	Delivery Hours
Luzon	500 MW	250 MW	37% - 42%	2027	10 years	14 hours (Mid-Merit)

B. New-Build Facilities

Grid	Auction Capacity Requirement	Minimum Offer Block	Capacity Factor	Delivery Commencement Year	Supply Delivery Period	Delivery Hours
Luzon	1,000 MW	20MW	37% - 42%	2031	20 years	14 hours (Mid-Merit)
Visayas Specifically, Cebu and/or Panay	440 MW	20MW	37% – 42%	2028	20 years	14 hours (Mid-Merit)
	500 MW	20 MW	37% – 42%	2031	20 years	14 hours (Mid-Merit)

1.1.1 The Auction Capacity and/or Energy Requirement for this Auction Round was determined using the System-Wide Aggregation approach, in accordance with the DOE DC No. DC2026-06-0013, the applicable Gas Auction Implementation Guidelines (GAIG), and other relevant DOE issuances.

1.2 Supply Delivery Period

1.2.1 For Existing NatGas Facilities, the Supply Delivery Period for the Awarded Gas Capacity shall depend on the specific Lot awarded:

1.2.1.1. For Lot 1: The Supply Delivery Period shall be for an initial period of five (5) years. The Supply Delivery Period may be extended for a period of up to five (5) years, subject to evaluation by the NGAC and prior approval of the Secretary. *Provided*, that the Winning Bidder, prior to the expiration of the initially awarded capacity, has completed the satisfactory retrofitting, upgrading, testing and commissioning, and other pre-delivery or readiness requirements necessary to ensure the continued reliable delivery or availability of the Awarded Gas Capacity/Energy. *Provided*, further, that the GAP for the extension period shall be subject to review and approval of the ERC.

1.2.1.2. For Lot 2: The Supply Delivery Period for the Awarded Gas Capacity /Energy shall be fixed at ten (10) years.

1.2.2 For New-Build NatGas Facilities, the Supply Delivery Period for the Awarded Gas Capacity shall be fixed at twenty (20) years.

1.2.3 Once awarded, the Supply Delivery Period shall be reflected in the Notice of Award, Certificate of Award, and other relevant auction documents, and shall be binding upon the Winning Bidder.

1.2.4 The Supply Delivery Period shall be reckoned from the DCD as committed by the Qualified Bidder in its bid and as reflected in the Notice of Award, Certificate of Award, and other relevant auction documents.

1.2.5 The Winning Bidder shall not withdraw, opt out, reduce, or terminate its obligation to deliver or make available the Awarded Gas Capacity during the Supply Delivery Period.

2. ELIGIBLE FACILITIES

The following facilities may participate in this Auction Round, subject to the requirements of the DOE DC No. DC2026-06-0013, this TOR, the GAIG, and applicable laws, rules, and regulations:

2.1 New Facilities.

New NatGas Facilities may participate, provided that they:

2.1.1 Have no legal impediments, including existing supply agreements on the agreed DCD to deliver the Offered Capacity/Energy;
2.1.2 Have secured, or shall secure within the prescribed period, the required System Impact Study (SIS);
2.1.3 Have valid documents proving possessory rights or legal site control over the proposed project site;
2.1.4 Have the capability to achieve the COD and deliver the Offered Capacity by the committed DCD; and
2.1.5 Where applicable, have formally indicated their intent to finance and construct Associated Transmission Projects (ATPs) in accordance with applicable DOE issuances.

2.2 Expanded or Upgraded Existing Facilities.

Expanded or upgraded existing NatGas Facilities may participate in the auction for New Build Facilities, with respect to the incremental or additional capacity resulting from the expansion or upgrade, provided that such capacity is independent, separately measured, and covered by a dedicated metering facility and corresponding revenue meter.

2.3 Existing Uncommitted Facilities.

Existing NatGas Facilities with existing Power Supply Agreements (PSA), Ancillary Service Procurement Agreements (ASPA), or other legal

commitments, that are already in commercial operation, may participate in the auction for existing facilities, provided that they:

2.3.1 Are not subject to PSA, ASPA, or other legal commitments that overlap with the required DCD;
2.3.2 Have certification of contract expiry or formal notice of termination effective prior to the DCD;
2.3.3 Are duly registered in the Wholesale Electricity Spot Market (WESM) or capable of complying with WESM requirements within the period prescribed by the DOE; and
2.3.4 Have dedicated metering facilities and revenue meters for the capacity offered.

2.4 Existing Uncontracted Facilities.

Existing NatGas Facilities that are already in commercial operation prior to the Auction may participate, provided that they have no existing PSA, ASPA, or other legal commitments to deliver the capacity upon the DCD.

2.5 Compliance with the Reliability Standards.

All participating NatGas Facilities shall demonstrate compliance and undertake the necessary testing to ensure compliance with the applicable reliability standards and performance indices, allowable outages and reporting requirements, and other reliability obligations and requirements prescribed by the DOE and ERC, in accordance with relevant laws, rules, regulations, and issuances.

For existing facilities, the Qualified Bidder shall submit certification under oath that the generating unit/s Offered Capacity are compliant with the applicable reliability standards and reporting requirements, including any reliability indices prescribed by the ERC.

For new, expanded or upgraded facilities, the Qualified Bidder shall submit an undertaking that the generating unit/s shall comply with all applicable reliability standards as a condition for the issuance and continued validity of the Certificate of Award, and entitlement to the Gas Auction Price (GAP).

2.6 Minimum Flexibility Requirements

Following flexibility requirements shall be complied by all awarded capacities.

For New-Build Facilities, the following technology-specific minimum flexibility requirements shall apply:

a. Combined Cycle Gas Turbine (CCGT)

Parameter	**Requirement**
Minimum Stable Load	≤40% of rated capacity

Ramp Rate	≥5% rated capacity/min
Hot Start (less than 8 hours outage)	≤60 min
Warm Start (8 to 48 hours outage)	≤120 min
Cold Start (greater than 48 hours outage)	≤240 min
Dispatchability	Continuous load following
AGC Capability	Required
Primary Frequency Response	Required
Reactive Power	0.85 lag to 0.90 lead

b. Open Cycle Gas Turbine (OCGT)

Parameter	**Requirement**
Minimum Stable Load	≤30% of rated capacity
Ramp Rate	≥8% rated capacity/min
Hot Start (less than 8 hours outage)	≤20 min
Warm Start (8 to 48 hours outage)	≤30 min
Cold Start (greater than 48 hours outage)	≤60 min
Dispatchability	Continuous load following
AGC Capability	Required
Primary Frequency Response	Required
Reactive Power	0.85 lag to 0.90 lead

c. Reciprocating Engine

Parameter	**Requirement**
Minimum Stable Load	≤10% of rated capacity
Ramp Rate	≥50% of rated capacity/min
Hot Start (less than 8 hours outage)	≤5 min
Warm Start (8 to 48 hours outage)	≤10 min
Cold Start (greater than 48 hours outage)	≤15 min
Dispatchability	Modular, unit-by-unit load following
AGC Capability	Required
Primary Frequency Response	Required
Reactive Power	0.85 lag to 0.90 lead

Existing capacities shall comply with the Combined Cycle Gas Turbine (CCGT) requirements set out above prior to availment of the five-year extension, which shall commence immediately after the last day of the original Supply Delivery Period.

3. FUEL SOURCE CATEGORIZATION AND PROOF

3.1 Fuel Source Declaration

Each Qualified Supplier shall declare the fuel source category of its participating facility as one of the following:

3.1.1 Indigenous NatGas Facility where the facility will use indigenous natural gas;
3.1.2 Blended NatGas Facility where the facility will use blended indigenous and non-indigenous natural gas; or
3.1.3 Non-Indigenous NatGas Facility where the facility will use non-indigenous natural gas.

The declaration shall be supported by valid and enforceable documents, including but not limited to Gas Sale and Purchase Agreements (GSPA) and other supporting documents indicating the source, origin, volume, supply period, and delivery arrangement of the natural gas to be utilized during the Supply Delivery Period.

3.2 Fuel Source Certification

3.2.1 The declared Fuel Source Category of the participating NatGas Facility shall be subject to verification, validation, and certification by the DOE-Oil Industry Management Bureau (DOE-OIMB), in accordance with DOE DC No. DC2026-06-0013, this TOR, the GAIG, the Certificate of Award, and other relevant auction documents.

3.2.2 For Existing NatGas Facilities, the Potential Winning Bidder shall submit the corresponding DOE-OIMB Certification as an attachment to the Certification under Oath required under the Post-Auction Documents. Once awarded, the Winning Bidder shall secure and submit to the NGAC the corresponding DOE-OIMB Certification annually, not later than the 31st day of January of every year during the Supply Delivery Period.

3.2.3 For New NatGas Facilities, Expanded Facilities, or Upgraded Facilities, the Potential Winning Bidder shall declare the Fuel Source Category of its participating NatGas Facility in the applicable Affidavit of Undertaking required under the Post-Auction Documents. Once awarded, the Winning Bidder shall secure and submit to the NGAC the corresponding DOE-OIMB Certification at least sixty (60) calendar days prior to the Delivery Commencement Date, and not later than the 31st day of January of each year thereafter throughout the Supply Delivery Period.

3.2.4 Any change in the declared Fuel Source Category, fuel supply arrangement, replacement fuel arrangement, or other material information submitted for certification shall be immediately reported to the DOE-OIMB and the NGAC, subject to verification and appropriate action in accordance with DOE DC No. DC2026-06-0013, this TOR, the GAIG, and other relevant auction documents.

3.3 Replacement Fuel

During the Supply Delivery Period, the Winning Bidder may use replacement fuel, as may be allowed by the NGAC, subject to the following conditions:

3.3.1 The Winning Bidder shall submit documentary proof, satisfactory to the NGAC, demonstrating the unavailability or insufficiency of the declared fuel source, including but not limited to supply interruption notices, force majeure declarations, or other relevant certifications from fuel suppliers;

3.3.2 The corresponding fuel cost pass-through for the fuel replacement shall be allowed; *Provided*, That such cost will be the lower of: *(a)* the cost of the declared fuel source category, as indicated in the submitted GSPA and other relevant supporting documents; and *(b)* actual prudent cost of the replacement fuel; unless the use of replacement fuel is necessitated by a verified force majeure event, in which case the actual prudent cost of the replacement fuel shall be allowed, subject to ERC audit.

3.3.3 The temporary use of replacement fuel shall not prejudice compliance with the obligations of the Winning Bidder under this TOR, including the delivery of the Awarded Gas Capacity for its intended mid-merit purpose; and

3.3.4 The Winning Bidder shall notify the NGAC at least three (3) months prior to the intended use of replacement fuel; *Provided*, That in cases of unforeseen or emergency conditions, such notification shall be made immediately upon occurrence. The Winning Bidder shall likewise comply with all applicable verification, certification, and monitoring requirements as may be imposed by the NGAC.

4. BID PARAMETERS

Each Qualified Bidder shall submit its bid in the form and manner prescribed in this TOR, the GAIG, and the applicable Bid Form. The bid shall include the following parameters:

4.1 Capacity Offer

The capacity offered by the Qualified Bidder, expressed in megawatts (MW), shall not exceed the Net Export Capacity of the participating NatGas Facility and shall be governed by the following:

4.1.1 New Facilities

The capacity offered shall refer to the Net Export Capacity, calculated as the total installed capacity less the projected station use or auxiliary load. This value must be consistent with the capacity evaluated and cleared in the required SIS or equivalent interconnection study.

4.1.2 Expanded or Upgraded Existing Facilities

The capacity offered shall be strictly limited to the incremental Net Export Capacity resulting directly from the expansion or upgrade. Such eligible capacity shall be determined by deducting the facility's original baseline Net Export Capacity, prior to any improvements, from its newly established total Net Export Capacity following the expansion or upgrade.

4.1.3 Existing Uncommitted Facilities

The capacity offered shall refer strictly to the unencumbered Net Export Capacity of the facility. This corresponds to the specific capacity that has been explicitly freed and released from prior legal commitments for the applicable Delivery/Compliance Year (DCY).

The capacity offered shall refer to the Net Export Capacity, based on the maximum stable load (Pmax) of the generating unit less the station use or auxiliary load, unless otherwise prescribed by the NGAC or validated through applicable technical documentation.

Where only a portion of an existing facility is offered, such portion shall be separately identified and shall comply with metering, settlement, and technical requirements prescribed in this TOR.

4.2 Equivalent Energy Offtake

For Existing NatGas Facilities – Lot 1, the equivalent energy offtake shall be based on the Awarded Gas Capacity and shall correspond to the applicable Operating Period, as follows:

4.2.1 Mid-Merit Operating Period. The equivalent energy offtake shall be within thirty-eight percent (38%) to forty-two percent (42%) capacity factor of the Awarded Gas Capacity. Energy delivered within the applicable equivalent energy offtake for this period shall be compensated through the applicable **Gas Auction Price (GAP) and Fuel Cost.**

4.2.2 Non-Mid-Merit Operating Period. The equivalent energy offtake shall be within twenty-two percent (22%) to twenty-four percent (24%) capacity factor of the Awarded Gas Capacity. Energy delivered during this period shall be compensated based on the applicable **Fuel Cost only**.

For Existing NatGas Facilities – Lot 2 and New Build NatGas Facilities, the equivalent energy offtake shall be within thirty-seven percent (37%) to forty-two percent (42%) capacity factor of the Awarded Gas Capacity, which shall be delivered and made available during the fourteen (14)-hour Mid-Merit Operating Period, from 1500H to 0500H of the immediately succeeding day. Energy delivered or made available within the applicable equivalent energy offtake shall be compensated through the applicable **GAP and Fuel Cost.**

No equivalent energy offtake shall apply outside the Mid-Merit Operating Period for Existing NatGas Facilities – Lot 2 and New Build NatGas Facilities. However, where such facilities are redispatched by the SO outside the Mid-Merit Operating Period, the energy generated pursuant to such redispatch instruction may be compensated for the applicable Fuel Cost only.

4.3 Price Offer

The Price Offered by the Qualified Bidder, expressed in Philippine Peso per kilowatt-hour (PhP/kWh), shall not exceed the Gas Auction Threshold (GAT) Price issued by the ERC for this Auction Round.

4.4 Delivery Commencement Date (DCD)

The committed Delivery Commencement Date, following the format *YYYY/MM/DD*, on which the Qualified Bidder undertakes to commence delivery of the Offered Capacity, subject to the applicable market, regulatory, interconnection, and settlement requirements.

4.5 Fuel Source Category

The declared fuel source category of the participating NatGas Facility, whether Indigenous, Blended, or Non-Indigenous Natural Gas.

The Capacity Offer, Equivalent Energy Offtake, Price Offer, DCD, Supply Delivery Period, and declared Fuel Source Category shall form part of the bid submission and shall be binding on the Qualified Bidder upon submission of its bid.

No modification, withdrawal, or reduction of the bid parameters shall be allowed after the closure of the bid submission period, except as may be expressly allowed under this TOR, the GAIG, a Bid Bulletin, or upon prior approval of the NGA-BEAC.

Once awarded, the foregoing bid parameters shall be reflected in the Notice of Award, Certificate of Award, and other relevant auction documents, and shall form part of the obligations of the Winning Bidder under DOE DC No. DC2026-06-0013, this TOR, the GAIG, the applicable Settlement Mechanism, and other relevant issuances.

5. BID SECURITY

5.1 Posting of Bid Security

5.1.1 Submission of an Electronic Copy of Bid Security

Upon posting of the Bid Bulletin issued after the Pre-Bid Conference, Pre-Qualified Bidders shall submit an Electronic Copy of Bid Security within the period prescribe in the GAIG, in PDF file, through the Natural Gas Auction (NGA) email at NGA@doe.gov.ph. Submissions shall be accepted until 12:00 NN of the last day of the submission period.

The Electronic Copy of Bid Security shall be evaluated in accordance with this TOR, the GAIG, the Bid Bulletin, and the applicable "***Appendix***" on Bid Security.

Within two (2) working days from the Auction Proper, Qualified Bidders shall submit the original Bid Security, through the DOE-RMD, addressed to:

UNDERSECRETARY GIOVANNI CARLO J. BACORDO
Natural Gas Auction – Bids Evaluation and Awards Committee
Department of Energy
Energy Center, Rizal Drive corner 34th Street
Bonifacio Global City, Taguig City

5.1.2 Form and Validity of Bid Security

A pre-Qualified Bidder shall post a Bid Security in the form of Cash, Manager's Checks, Surety Bond, or Irrevocable Standby Letters of Credit with Drawing Certificate or Bank Guarantees as detailed in the ***"Appendix"*** of this TOR.

The Bid Security in the form of Manager's Checks, Surety Bond, or Irrevocable Standby Letters of Credit shall take effect on the date of the Auction Proper and shall be valid for one hundred twenty (120) calendar days: *Provided*, That the Bid Security shall be extended for such period as may be required by the NGA-BEAC, upon endorsement of the TWG, to cover any period of delay in conducting the Auction Proper. Should such extension be necessary, the DOE shall issue the appropriate Bid Bulletin.

In case the Bid Security is in the form of cash, the Qualified Bidder shall remit the required amount to the DOE-Treasury Division (TD) not later than the date of the Auction Proper and shall submit proof of such deposit as part of the Electronic Copy of Bid Security.

Upon submission of the Post-Auction Requirements and due validation thereof, the Bid Security shall be released upon issuance of the Certificate of Award under Section 12.10 of this TOR.

5.1.2.1 A parent company, partner, affiliate, subsidiary, or any other third party may be allowed to secure the Bid Security **"For the Account"** of the Qualified Bidder. Bid Security in the form other than cash issued by foreign banks shall not be accepted, unless expressly confirmed or guaranteed by a duly authorized local banking institution.

5.1.2.2 The stated value of Bid Security shall cover the Offered Capacity, as detailed in Section 5.2.1.3 of this TOR and the "***Appendix.***"

5.1.2.3 Pre-Qualified Bidders shall not be allowed to vary the Bid Security after the electronic copy thereof is submitted to the DOE, unless required by the NGA-BEAC in accordance with Section 5.2.1 of this TOR.

5.2 Evaluation of Bid Security

Bid Security shall be evaluated in accordance with the following:

5.2.1 Evaluation of Electronic Copy of Bid Security.

5.2.1.1 Upon the lapse of the period for submission of the Electronic Copy of Bid Security under Section 5.1.1 of this TOR, the NGA-BEAC, with the assistance of the TWG, shall evaluate the submitted electronic copies of Bid Security to determine compliance of each Bid Security with the prescribed template, stated amount, validity period and other matters set forth in the *"**Appendix**"* of this TOR: *Provided*, that the stated value of the Bid Security shall not be less than the required value corresponding to the intended Offered Capacity.

5.2.1.2 The TWG shall endorse to the NGA-BEAC the results thereof, together with its findings on the conformity of the submitted Electronic Copies of Bid Security.

5.2.1.3 To ensure that the Offered Capacity of bids is fully covered by the stated value of the Bid Security, the Electronic Bidding Platform shall only accept an Offered Capacity that is equal to or lower than the capacity covered by the Bid Security.

5.3 Issuance of User-Specific IDs to Qualified Bidders

The NGA-BEAC, through the TWG, shall issue the notice of qualification result and the corresponding User-Specific IDs to the respective Authorized Representatives of Pre-Qualified Bidders whose Bid Securities are found compliant. Upon issuance of the User-Specific IDs, such pre-Qualified Bidders shall be considered Qualified Bidders who can participate in the Auction Proper.

5.3.1 User-Specific IDs shall be issued to a Qualified Bidder for each of its participating NatGas Facility or phases thereof. The NGA email shall also contain the log-in credentials to the Electronic Bidding Platform for Bid submission.

5.3.2 It shall be the duty of the Qualified Bidder to: *(a)* acknowledge receipt of the NGA email; and *(b)* immediately change the default password of User-Specific IDs.

5.3.3 The Qualified Bidder agrees that the Auction Proper shall not be delayed or postponed if it is unable to participate therein by reason of its failure to comply with this Section.

5.3.4 Upon issuance of User-Specific IDs, Qualified Bidders may log in twenty-four (24) hours after receipt of the NGA-BEAC issued User specific IDs, but may view only the landing page which contains the Auction Capacity Requirement and other relevant information regarding the Auction. Qualified Bidders may use this time to test any log-in or accessibility issues to the Electronic Bidding Platform. Any log-in or accessibility issue encountered shall be reported to the NGA Secretariat through NGA@doe.gov.ph three (3) working days before the Pre-Bid Conference for immediate resolution.

5.4 Evaluation of Original Bid Security

5.4.1 Within one (1) working day from the receipt of the original Bid Security, the DOE-RMD pursuant to Section 5.1.1 of this TOR, shall transmit the original Bid Security to the TWG. The TWG shall evaluate whether the submitted original Bid Security is identical with the approved electronic copy of the Bid Security in terms of content, format, stated amount, validity period, and signatures, and whether it complies with the requirements under the *"**Appendix**"* of this TOR.

5.4.2 Within the same period, the TWG shall endorse to the NGA-BEAC the results of the verification, together with its findings on the conformity of the original Bid Security.

5.4.3 The Bidder shall be disqualified from the Auction if the original Bid Security submitted is not identical to the electronic Bid Security previously submitted and validated by the DOE, or if the original Bid Security is otherwise found to be incorrect or unacceptable. In such case, the next ranked bidder/s per ranking and stacking of offers as set forth in Section 10.2 of this TOR shall substitute the disqualified Bidder/s until the Auction Capacity Requirement is met.

5.4.4 The Bid Security shall be released to the Winning Bidder upon the NGAC's determination that the Post-Auction Documents are complete and in order, and upon approval of the issuance of the Certificate of Award in accordance with Sections 12.7 and 12.10 of this TOR.

6. PRE-AUCTION PROCEDURES AND TIMELINES

All pre-auction procedures and timelines shall be as indicated in the ITB and the GAIG, including the corresponding issuance of Bid Bulletins.

7. PRE-BID CONFERENCE

7.1 Conduct of Pre-Bid Conference

The NGA-BEAC shall conduct a Pre-Bid Conference for the Auction, the schedule of which shall be posted on the DOE website. Each Qualified Supplier shall be entitled to participate in the Pre-Bid Conference through its duly authorized representative and duly designated observer.

7.2 Comments, Queries, and Clarifications

All comments, inputs, queries, or requests for clarification concerning this TOR, the GAIG and its Annexes, the TOR Appendices, and other relevant details of the Auction shall be submitted to the NGA-BEAC through the Natural Gas Auction email at NGA@doe.gov.ph on the deadline set by the NGA-BEAC.

Comments, inputs, queries, or requests for clarification submitted beyond the prescribed period may no longer be considered.

Qualified Bidders may also raise questions, comments, or clarifications during the Pre-Bid Conference, which may be addressed directly therein or through a subsequent Bid Bulletin, as may be issued by the NGA-BEAC.

7.3 Issuance of Bid Bulletin

From the end of the registration period, the NGA-BEAC may post Bid Bulletins at the DOE website to provide clarifications including changes, if any, on the TOR, GAIG and other related auction documents, in response to comments received. Within three (3) working days from the date of the Pre-Bid Conference, the NGA-BEAC shall issue and post on the DOE website the Final Bid Bulletin containing the results of the Pre-Bid Conference, including any clarification, modification, or amendment of the TOR, GAIG, and other related auction documents, as may be necessary.

The Bid Bulletin shall likewise specify the schedule, time, and other relevant details for the conduct of the Auction Proper.

The Bid Bulletin shall be signed by the NGA-BEAC Chairperson and issued upon endorsement through the NGAC and approval of the Secretary.

8. AUCTION PROPER

8.1 Schedule of Activities

8.1.1 The Auction Proper shall be held on the day following NGA-BEAC issuance of notice for the acceptance of Bid Security of the Pre-qualified Bidders.

8.1.2 The auction has three (3) stages corresponding to the annual Auction Capacity Requirement. Qualified Bidders shall place and enter their bids with the corresponding DCDs within the exclusive periods allotted for each DCY, as shown below:

Opening of the Auction Platform 9:00 AM		
DCY	**Auction Start**	**Auction End**
2026-2027	9:00 AM	9:30 AM

Opening of the Auction Platform 9:00 AM		
2028	10:00 AM	10:30 AM
2031	11:00 AM	11:30 AM
Closing of the Auction Platform 12:00 PM		

8.1.3 The Auction Platform shall be open at 9:00 AM until 12:00 PM. From 11:31 AM until 12:00 PM, the Summary Page showing the total offered capacity will be accessible to the bidders and the observers.

8.1.4 Observers from Participating Bidders

8.1.4.1 The NGA-BEAC shall allow one (1) Observer designated by each participating Bidders in their Registration Form to be virtually present during the Auction Proper and observe the bidding process.

8.1.4.2 For this purpose, the proceedings of the NGA-BEAC in its conduct of the Auction Proper shall be viewed by Observers virtually: *Provided*, that access of the Observers to the meeting platform shall be limited to viewing relevant information only. A virtual meeting link shall be provided to the designated Observers.

8.1.4.3 The NGA-BEAC shall invite representatives from the ERC, National Transmission Corporation, National Electrification Administration, and the Independent Electricity Market Operator of the Philippines as Observers. Other government entities or instrumentalities may be invited if, after due deliberation by the NGA-BEAC, their participation and/or inputs on the Auction Proper is deemed necessary or appropriate for the successful conduct of the Auction.

8.1.4.4 Members of the NGAC may attend the Auction Proper as Observers.

8.1.4.5 Other DOE officials and relevant personnel may attend the virtual meeting on the Auction Proper as Observer, subject to technical limitations such as hosting capacity of the virtual meeting platform.

8.2 Auction Platform and Procedures

8.2.1 This Auction shall be conducted through an Electronic Bidding Platform where Qualified Bidders shall gain access to their bid submission interface using the provided User-Specific IDs for each of their NatGas Facilities.

8.2.2 The Electronic Bidding Platform shall feature a user interface with user-editable cells to enter the bids. The interactive Bid Form on the platform must be completed in the manner indicated therein with all the required information filled out correctly and accurately. Upon clicking the **"Submit"** button in the interface, the Qualified Bidder will be prompted to confirm its bid submission. Once confirmed, its bid shall be submitted, time-stamped, and stored in the Electronic Bidding Platform's database.

8.2.3 Revisions to the submitted bids shall be allowed through the submission of new bids on the platform. Only the bid with the latest timestamp shall be considered in the ranking and stacking of offers. No revision shall be allowed beyond the bid submission period.

8.2.4 Qualified Bidders shall place their bids for each participating NatGas Facility through the Electronic Bidding Platform using their User-Specific IDs.

8.3 Submission of Bids.

8.3.1 Qualified Bidders may offer the capacity of a NatGas Facility that are compliant with Section 10 of DOE DC No. DC2026-06-0013.

8.3.1.1 Qualified Bidders shall offer the entire Net Export Capacity of its NatGas Facility or a portion thereof in accordance with Section 4.1 of this TOR. Where only a portion of the capacity of the Facility will be offered, such portion shall be covered by a separate generating unit and wholly offered; *Provided*, that the said unit/s have a dedicated metering facility and corresponding revenue meter.

8.3.2 Subject to Sections 4.1 and 5.2.1.3 of this TOR, a Qualified Bidder shall submit its bid in the following format: Offered Capacity in MW with three (3) decimal places, which shall be less than or equal to the Net Export Capacity of the facility or the applicable capacity validated under this TOR; Price Offer in PHP/kWh with four (4) decimal places; DCD; and Fuel Source Category.

8.3.3 Any Bid with a Price Offer higher than the GAT Price and/or Offered Capacity beyond the capacity prescribed under this TOR shall be deemed non-responsive, automatically discarded, and excluded from the ranking mentioned in Section 10.2 of this TOR.

8.4 Receipt of Bids

8.4.1 Every successful bid submission shall generate a unique Bid ID in the Electronic Bidding Platform which shall likewise be provided within the platform to the bidder.

8.4.2 An automatically generated email shall be sent to the registered email address of the bidder to serve as confirmation of receipt of its bid submission.

9. ELECTRONIC BIDDING PLATFORM CONTINGENT EVENTS

9.1 If the Electronic Bidding Platform is not possible at the date and time set for the Auction Proper:

9.1.1 The NGA-BEAC shall reschedule the online Auction, which shall be announced, through Bid Bulletin, within two (2) working days after the original auction schedule.

9.1.2 If no schedule can be set for an online auction, the NGA-BEAC may proceed with the physical submission of bids. Within five (5) working days from the original Auction date, the NGA-BEAC shall announce the date and venue for the physical or electronic submission of bids through Bid Bulletin.

9.1.3 Submission of Bids Outside the Electronic Bidding Platform

9.1.3.1 Qualified Bidders shall submit their bids on the specified date and time, following the Bid Form prescribed in the GAIG, to the NGA-BEAC either physically or electronically, as the case may be.

9.1.3.2 If the NGA-BEAC requires the submission of bids through any other online submission or electronic means, the Qualified Bidder shall submit an electronic copy of its bid in PDF format. An electronic copy that cannot be opened or is corrupted shall be considered non-responsive and shall be automatically disqualified.

9.1.3.3 The NGA-BEAC shall open the bids in public at the time, date, and place specified in a separate announcement to be made by the NGA-BEAC not later than thirty (30) minutes after the closure of submission of bids. The Qualified Bidders' representatives who are virtually present shall sign a register manifesting their attendance. In case videoconferencing, webcasting, or other similar technologies are used, the attendance of Qualified Bidders shall likewise be recorded by the Auction Secretariat.

9.1.3.4 In case the bids cannot be opened as scheduled due to reasons beyond the control of the NGA-BEAC, the rescheduling will be announced through a Bid Bulletin to be posted on the DOE website.

9.2 If the Electronic Bidding Platform becomes unavailable at the time set for accessing the Summary of Submitted/Accepted Bids:

9.2.1 The NGA-BEAC shall set a new time and date for such access and renew the Qualified Bidders' login credentials for the new schedule.

9.2.2 If such online access remains unavailable, the NGA-BEAC shall schedule a public presentation of the initial results.

10. EVALUATION OF BIDS

10.1 Opening of Bids.

Immediately after the closure of the submission of bids, the NGA-BEAC shall open the bids submitted and stored in the Electronic Bidding Platform.

10.2 Ranking of Offers.

The Bids shall be ranked in accordance with the following:

10.2.1 The bids received shall be ranked and stacked automatically by the Electronic Bidding Platform based first on the declared Fuel Source Category, consistent with the prioritization under DOE DC2026-06-0013, the Gas Auction Guidelines, and this TOR, in the following order:

i. Indigenous NatGas Facilities;
ii. Blended NatGas Facilities; and
iii. Non-Indigenous NatGas Facilities.

Within each Fuel Source Category, bids shall be ranked from the lowest to the highest Price Offer until the corresponding Auction Capacity Requirement per grid or lot is met.

10.2.2 For clarity, bids under the higher priority Fuel Source Category shall first be considered and stacked before proceeding to the next priority category. In case of a tie in Price Offers, the bids shall be ranked in accordance with the tie-breaker rules under Section 10.2.3.1 of this TOR.

10.2.3 The following rules for breaking a tie and for a marginal offer shall apply:

10.2.3.1 Tie-Breaker. If there is a tie in Price Offers, the bids shall be ranked according to the target DCD, with the earlier date ranked first. Should a tie still exist, the ranking of bids shall be based on the bid timestamp, where the bid with the earlier timestamp shall be ranked first.

10.2.3.2 Marginal Capacity Offer for New Build Capacities. If a bid becomes the Marginal Capacity Offer, such that its Capacity Offer fully subscribes the remaining Auction Capacity Requirement for New Build Capacities, but a portion of the Capacity Offer exceeds the applicable

Auction Capacity Requirement, such excess may be accepted as an increment of the Auction Capacity Requirement but not more than the corresponding minimum offer block of 20 MW.

10.2.4 The TWG shall validate the bids as ranked per lot/grid and shall endorse to the NGA-BEAC the bids and their corresponding capacities that make up the Auction Capacity Requirement.

10.2.5 The TWG shall conduct the validation mentioned in Section 10.2.4 of this TOR within two (2) working days from the completion of the verification of the original Bid Security under Section 5.4.2 of this TOR.

10.2.6 The NGA-BEAC shall review and endorse the results of the validation of Bids to the NGAC within one (1) working day from receipt thereof.

10.2.7 The NGAC shall, within one (1) working day from receipt of the NGA-BEAC's endorsement, review and endorse for the DOE Secretary's approval the list of Potential Winning Bidders which shall be based on the accepted bids that fall within the Auction Capacity Requirement.

11. NOTICE OF AWARD (NOA)

11.1 Within one (1) working day from approval of the list of Potential Winning Bidders by the NGAC, the NGAC shall endorse the same to the DOE Secretary.

11.2 The DOE Secretary shall approve and issue the Notice of Award to the Potential Winning Bidders within two (2) working days from receipt of the NGAC endorsement.

11.3 The DOE shall publish the list of Potential Winning Bidders on the DOE website within one (1) working day from the Secretary's approval.

12. SUBMISSION OF POST-AUCTION DOCUMENTS

All Potential Winning Bidders shall comply and submit post-auction documents as in indicated in Section 8.2 of the GAIG, in the following manner:

12.1 Within a non-extendible period of ten (10) working days from the issuance and receipt of the NOA, the Potential Winning Bidders shall submit the Post-Auction Documents the DOE-RMD, addressed to the NGA-BEAC Chairperson.

12.2 The electronic copies of the Post-Auction Documents shall be submitted to the DOE-RMD through idmdrecords@doe.gov.ph, copy furnished NGA@doe.gov.ph, within the same prescribed period.

12.3 The original Post-Auction Documents, including the original Performance Security, shall likewise be submitted to the DOE-RMD within the same ten (10) working day period, addressed to the NGA-BEAC Chairperson.

12.4 Within one (1) working day from the lapse of the period, the DOE-RMD shall transmit the submitted Post-Auction Documents to the TWG, except that any Performance Security in the form of Cash or Manager's Check shall be immediately remitted or delivered to the DOE-Treasury Division (TD).

12.5 The TWG shall evaluate the Post-Auction Documents within two (2) working days from receipt thereof and endorse the results of its evaluation to the NGA-BEAC.

12.6 The NGA-BEAC shall validate the evaluation results and, if appropriate, endorse its recommendation to the NGAC within two (2) working days from receipt thereof.

12.7 The NGAC shall, within one (1) working day from receipt of the NGA-BEAC recommendation, approves and recommends to the DOE Secretary the issuance of Certificates of Award to the Winning Bidders.

12.8 A Potential Winning Bidder that fails to submit and/or comply with any of the foregoing Post-Auction Documents within the prescribed period shall be disqualified, and its Bid Security shall be called.

12.9 In the event that a Potential Winning Bidder is disqualified, the Offered Capacity corresponding to the disqualified Potential Winning Bidder shall be awarded to the next-ranked bidder/s until the Auction Capacity Requirement is met in accordance with Section 10.2 of this TOR, subject to compliance with the post-auction requirements set forth in the GAIG; Provided, that the next-ranked bidder/s has/have valid and effective Bid Security/s at the time of notice of inclusion of its/their bid/s in the Auction Capacity Requirement.

12.10 The DOE shall issue the Certificate of Award to the Winning Bidders within two (2) working days from the NGAC's review and recommendation that the Post-Auction Documents are complete and in order, subject to compliance with all applicable requirements under DOE DC No. DC2026-06-0013, this TOR, the GAIG, Bid Bulletin, Notice of Award, and other relevant auction documents.

13. PERFORMANCE SECURITY

13.1 To guarantee the faithful performance of its obligations under DOE DC No. DC2026-06-0013, this TOR, undertakings, and related agreements, including the timely completion of Milestone Activities strictly in accordance with the timelines specified in the Work Program (WP) and the Supply Delivery Period, the Potential Winning Bidder shall deliver a Performance Security that complies with the following conditions:

13.1.1 The Performance Security shall be in the form of Cash, Manager's Checks, Surety Bond, or Irrevocable Standby Letters of Credit with Drawing Certificate or Bank Guarantees;

13.1.2 The Performance Security in the form other than Cash shall have a minimum term of one (1) year, expiring on 31 December of the year of issuance. Provided, that the term of the first Performance Security shall only cover the remaining period of the year of award, *i.e.*, from its effective date until 31 December of the same year. The term of the last Performance Security shall cover the period until sixty (60) days following the end day of the Supply Delivery Period. Provided, further, that for Lot 1, considering that the committed DCD falls in December 2026, the Winning Bidder shall, upon the required submission of the Performance Security, simultaneously submit two (2) Performance Securities: (i) the first covering the period from its effective date until 31 December 2026; and (ii) the second covering the immediately succeeding year, from 01 January 2027 until 31 December 2027; and

13.1.3 The Performance Security shall be renewed annually, consistent with Section 13.2 of this TOR. Not later than sixty (60) calendar days prior to the expiration of the Performance Security, proof of renewal of the Performance Security shall be submitted to the NGAC.

13.2 In every case, the NatGas Facility of the Winning Bidder shall be covered by Performance Security that shall remain effective and in place until sixty (60) days after the committed DCD. During the sixty (60) calendar day period, the DOE shall validate the Winning Bidder's compliance with its supply obligations under the NatGas Auction.

13.3 The Performance Security shall be returned to the Winning Bidder upon compliance with Section 13.2 of this TOR; *Provided*, that the Winning Bidder's compliance with the obligations under the NatGas Auction is duly confirmed by the DOE.

13.4 The amount of the Performance Security, or any renewal thereof, may be reduced based on the actual completion of the NatGas Facility, subject to DOE validation. Such validation shall be conducted during the third quarter of every calendar year until the committed DCD, as may be applicable.

For this purpose, the Winning Bidder shall submit a report containing the actual completion of, and expenditures incurred for, the NatGas Facility not later than the last day of the second quarter of every calendar year.

13.5 The Performance Security, or any portion thereof, shall be drawn in any of the following circumstances:

13.5.1 If a Winning Bidder fails to submit the renewed Performance Security within the period prescribed in Section 13.1.3 of this TOR, the DOE, without need of notice to the Winning Bidder, shall call the Performance Security for the current year and hold the proceeds thereof as cash bond until the Winning Bidder submits a renewed or replacement Performance Security compliant with the requirements therefor.

In the event that the Performance Security is called pursuant to this Section and the Winning Bidder fails or omits to submit a renewed or replacement Performance Security before the end of the current year, the cash bond shall stand as the Performance Security of the Winning Bidder and may be drawn in accordance with the terms herein. In such event, the Winning Bidder shall not be allowed to replace the cash bond.

13.5.2 If the capacity delivered by the NatGas Facility, as indicated in the COC or PAO, is less than one hundred percent (100%) of the Awarded Gas Capacity submitted by the Winning Bidder, the Performance Security shall be partially drawn proportional to the difference between the Offered Capacity and the capacity indicated in the COC or PAO.

13.5.3 If the Winning Bidder fails to deliver any of the Milestone Activities specified below on the respective dates set forth in its WP, and such delay is partly or wholly due to its fault and is not excused under Section 15 of this TOR, the DOE shall draw one-tenth (1/10) of one percent (1%) of the Performance Security for every day of delay as penalty, regardless of the number of delayed Milestone Activities, until the Winning Bidder is fully compliant with the said Milestone Activities:

13.5.3.1 Submission of valid Gas Supply and Purchase Agreements or other equivalent fuel supply arrangements acceptable to the DOE, proof of financial closing, and Engineering, Procurement, and Construction (EPC) Contract;

13.5.3.2 Submission of necessary licenses, permits, clearances, approvals, and other authorizations required for the development, construction, testing, commissioning, and operation of the NatGas Facility, including but not limited to those issued by concerned national government agencies, local government units, regulatory authorities, and other relevant entities;

13.5.3.3 Submission of interconnection permits, licenses, and clearances, which shall include SIS or DIS and Facility Study;

13.5.3.4 Submission of the Environmental Compliance Certificate (ECC) issued by the Environmental Management Bureau under the Department of Environment and Natural Resources (DENR).

13.5.3.5 Conduct of EPC Activities:

a. Detailed Engineering Work;
b. Procurement and Manufacturing;
c. Civil Works;
d. Mechanical Installation Work; and
e. Electrical and Control Systems

13.5.3.6 Submission of requirements for testing and commissioning of the NatGas Project to the NGCP/DU until issuance of the Final Certificate of Authority to Connect (FCATC), Provisional Authority to Operate (PAO), or Certificate of Compliance (COC) by the ERC, which shall include:

a. Proof of filling for Provisional Certificate of Approval to Connect (PCATC);
b. FCATC; and
c. PAO or COC.

Provided, that the penalty provided in this Section 13.5.3 shall apply only in cases of delay in the Milestone Activities occurring prior to the DCD; Provided, further, that the penalty provisions under Sections 13.5.4 and 13.5.5 of this TOR shall apply in cases of delay in delivery on the DCD.

13.5.3.7 Each Winning Bidder shall submit to the NGAC a Milestone Accomplishment Report on its compliance or non-compliance with the Milestone Activities against the timelines provided under the WP within five (5) working days from the last day of the Milestone Period indicated in the Winning Bidder's WP. If a Winning Bidder fails to submit the Milestone Accomplishment Report within the prescribed period, the penalty provided in Section 13.5.3 of this TOR shall automatically apply.

13.5.3.8 Each Winning Bidder shall submit to the NGAC a report on its delivery or non-delivery of the Awarded Gas Capacity upon DCD within five (5) calendar days from the said DCD.

13.5.4 If the Winning Bidder fails to deliver on the DCD and: *(a)* the delay is due to its fault; and *(b)* the COD occurs not more than one (1) year from the DCD, one-tenth (1/10) of one percent (1%) of the

Performance Security shall be drawn for every day of delay as penalty.

13.5.5 If the Winning Bidder fails to deliver on the DCD and: *(a)* the delay is due to its fault; and *(b)* the COD occurs more than one (1) year from the DCD, the Performance Security shall be drawn in full. Further, the COA, and other documents issued in favor of the Winning Bidder shall, after due notice, be deemed revoked, and the Winning Bidder shall not be entitled to the GAP for the Offered Capacity; *Provided*, that the vacated capacity shall not be filled up with the Offered Capacity of the next-in-line bidder/s in the ranking of bids.

13.5.6 Notwithstanding any partial drawing of the Performance Security under Section 13.5.2, the Winning Bidder shall be required to post and maintain, upon each annual renewal pursuant to Section 13.1.3, a Performance Security equivalent to the full amount prescribed under the "***Appendix***" of this TOR. Any amount previously drawn shall not be reduced or credited against the required Performance Security amount for subsequent renewals. The Winning Bidder shall, upon each renewal, replenish the Performance Security to its full required amount, subject only to such reductions in the amount thereof as may be validated pursuant to Section 13.4 of this TOR.

13.6 Calling of Performance Security

If the DOE finds that a Winning Bidder failed to observe or perform its obligations under the WP, including the completion of Milestone Activities by the timelines set out in the approved WP, or failed to deliver the Offered Capacity on DCD, as the case may be, and such failure is not excused under Section 15 of this TOR, the DOE shall proceed against the Performance Security of such Winning Bidder.

The calling of the Performance Security, which may be full or partial, shall be made by the Secretary upon the recommendation of the NGAC. Such recommendation shall be based on the validation by the TWG on the compliance or non-compliance of the Winning Bidder with its WP or DCD.

13.6.1 The TWG shall conduct validation of the accomplishment of Milestone Activities under the WP within ten (10) working days from the last day of the period for the submission of Milestone Accomplishment Report under Section 13.5.3.7, covering the Milestone Period indicated in the Winning Bidder's WP.

13.6.2 A Winning Bidder shall include in its Milestone Accomplishment Report any extension granted to it in accordance with Section 15.5 of this TOR.

13.6.3 The TWG shall have five (5) working days from submission of proof of COD from the Winning Bidder to conduct validation thereof.

13.6.4 If warranted by the circumstances, the TWG shall recommend to the NGAC the calling of the Performance Security of a Winning Bidder.

13.7 Liquidated Damages for Breach of Certificate of Award

The following provisions shall govern in cases where: *(i)* a Winning Bidder unilaterally waives or abandons the COA; *(ii)* achieves COD but opts not to deliver the Offered Capacity in accordance with this TOR, the GAIG and its Annexes, and the COA; *(iii)* discontinues the delivery of the Offered Capacity during the Supply Delivery Period; or *(iv)* commits a material and persistent non-compliance with the applicable Reliability Standards which results in the inability of the Winning Bidder to reliably deliver and make available the Awarded Gas Capacity in accordance with its obligation under the COA:

13.7.1 The Winning Bidder shall pay to the DOE, as liquidated damages, an amount equal to *five percent (5%) of the estimated total GAP recovery for the total projected energy generation covering the Supply Delivery Period computed based on the maximum capacity factor*[5] *and Awarded Gas Capacity*, regardless of the percentage of project completion or the fact that the Offered Capacity is delivered by the Winning Bidder under a different market offtake arrangement.

13.7.2 For purposes of this Section, “material and consistent non-compliance with Reliability Standards” shall refer to repeated failure of the Winning Bidder to comply with the applicable reliability requirements, indices, reporting obligations, and corrective action directives prescribed by the DOE and the ERC, in accordance with the relevant issuances. As determined the non-compliances by the DOE, it shall be based on official records, findings, resolutions, orders issued by the ERC and which materially impairs the Winning Bidder’s ability to reliably deliver the Offered Capacity in accordance with the COA and this TOR.

13.7.3 The DOE shall have the right to enforce payment of the amount due under Section 13.7.1, as follows:

13.7.3.1 Proceed against the Performance Security of such Winning Bidder, if the same is still valid and effective; and

[5] As indicated in Section 1.1

13.7.3.2 Demand payment from such Winning Bidder of any unpaid amount not covered by the Performance Security, to be remitted to the DOE.

13.8 Notwithstanding the foregoing, the DOE may exercise any other remedies under applicable laws and regulations for any violation of the terms of this TOR.

14. CONFIDENTIALITY IN PROCEEDINGS

14.1 The DOE shall ensure that documents received from Qualified Bidders, evaluations, discussions thereon, and other matters which a reasonable person would consider confidential shall be treated with confidentiality.

14.2 To this end, the DOE shall allocate two (2) laptop computers with appropriate security features for the exclusive use of the TWG and the System Administrator during the Auction Proper and shall develop protocols for the conduct of the above activities. The said protocols shall be submitted to, and approved by, the NGA-BEAC within thirty (30) calendar days from the issuance of the Invitation to Bid and this TOR. Upon approval, the said protocols shall form part of this TOR.

15. EFFECTS OF FORCE MAJEURE AFTER THE ISSUANCE OF CERTIFICATE OF AWARD

15.1 Force Majeure (FM) refers to an extraordinary event that is not foreseeable or avoidable, or to an event that could not be foreseen, or which, though foreseen, is inevitable, and is beyond the will, control, participation, and influence of the Winning Bidder.

15.2 FM further refers to an event or circumstance generally caused: *(a)* by nature, such as, but not limited to, fires, floods, typhoons, other catastrophes, or natural calamities; and/or *(b)* by acts of man, such as, but not limited to, war, national emergencies, revolution, riot, insurrection, civil unrest, or any other similar violent or threatening actions. It may likewise pertain to any analogous event that may relate to a power system emergency or transmission system issue that affects the continuity of delivery of power by the Winning Bidder.

15.3 Written notice of FM shall be submitted not later than fifteen (15) calendar days from the earliest possible of: *(a)* the occurrence of the FM; or *(b)* the Winning Bidder's knowledge that FM exists. The notice of FM shall be addressed to the NGAC and supported by proof that:

15.3.1 The FM exists;

15.3.2 The event/s occurred independently of the will of the Winning Bidder;

15.3.3 The event/s rendered it impossible for the Winning Bidder to fulfill its obligations in a normal manner; and

15.3.4 The Winning Bidder is free from participation in, or aggravation of, the delay, damage, or injury resulting from the event.

Failure to timely notify the NGAC shall bar the Winning Bidder from invoking such FM for purposes of claiming extension of time in respect of the affected Milestone Activity or non-delivery on DCD, as applicable. For clarity, the notice of FM under this Section shall serve only as notification of the occurrence of FM and shall not, by itself, constitute approval of any claim for extension of time.

15.4 The Winning Bidder may be given an additional period to comply with the Post-Auction Requirements if such Winning Bidder proves that FM prevented compliance within the period prescribed in Section 12.1 of this TOR.

15.5 The Winning Bidder affected by FM may be excused from the performance of its obligation to accomplish the Milestone Activities in accordance with the timelines under the WP to the extent caused by FM.

The Winning Bidder affected by FM may be granted an extension within which to accomplish the Milestone Activities under the WP. If extension is warranted, the extension period shall be equivalent to the duration of the FM as duly invoked and validated, and the Winning Bidder shall not be liable for any delay or damages arising from such failure to perform; Provided, That the Winning Bidder has given written notice of FM as set forth in Section 15.3 of this TOR.

Failure to timely accomplish the Milestone Activities after the lapse of the approved extension period may cause the calling of the Performance Security, in the whole or in part, in accordance with Sections 13.5.3, 13.5.4, and 13.5.5 of this TOR.

15.6 The Winning Bidder affected by FM shall be excused from the performance of its obligation to deliver the Awarded Gas Capacity on original DCD to the extent caused by FM. If extension is warranted, the Winning Bidder shall not be liable for any delay or damages arising from such failure to perform; *Provided*, That the Winning Bidder gave written notice of FM as set forth in Section 15.3 of this TOR.

The Winning Bidder affected by FM may be granted an extension to commence delivery of supply. Such extension period shall be equivalent to the duration of the FM as duly invoked and validated. Failure to deliver after the approved new DCD shall cause the calling of the Performance Security, in full or in part, in accordance with Sections 13.5 and 13.6 of this TOR.

If the Winning Bidder establishes that the delay due to FM will materially and adversely affect the feasibility of its bid, such Winning Bidder may nominate another NatGas Facility as replacement, subject to DOE approval.

Such replacement NatGas Facility shall be located within the same grid and shall have the same Offered Capacity and Price Offer as the Winning Bidder's original NatGas Facility, except that the DCD of the replacement facility may be one (1) year later than the committed DCD. Should a Winning Bidder choose this option, it must post and renew the Performance Security annually in accordance with Section 13.1 of this TOR until delivery and validation of the replacement NatGas Facility.

15.7 In addition to the requirements under Sections 13.5.3.7, 13.5.3.8, and this Section, a Winning Bidder that invokes FM shall submit the following to the NGAC:

15.7.1 Gantt Chart showing the duration of each FM event and the corresponding activity or activities affected; *Provided*, that where multiple FM events occur within the same or overlapping period, the Winning Bidder shall prove that such events resulted in distinct periods of delay;

15.7.2 A computation of the period of extension claimed based on Section 15.7.1 of this TOR;

15.7.3 A request to extend the timeline to accomplish the Milestone Activity or Activities, or DCD, as the case may be; and

15.7.4 Revised WP reflecting a new timeline to attain the Milestone Activity or Activities, or DCD, as the case may be.

16. OFFERS, SCHEDULING, AND DISPATCH

The Winning Bidder shall submit its day-ahead offers, availability declarations, and projected output, in accordance with applicable WESM procedures, including relevant data on available capacity, Pmin, Pmax, outages, deratings, operational limitations, and other matters that may affect the scheduling, dispatch, or redispatch of the NatGas Facility.

16.1 Mid-Merit Operating Period

The Winning Bidder shall offer and make available the Awarded Gas Capacity for scheduling and dispatch in accordance with the WESM Rules, applicable Market Manuals, dispatch protocols, and the ERC-approved Settlement Mechanism.

The scheduling of the Awarded Gas Capacity during the Mid-Merit Operating Period shall be undertaken by the Market Operator, while the dispatch of the NatGas Facility shall remain subject to the instructions of the System Operator, taking into account system security, reliability, operational requirements, and transmission constraints.

16.2 Non-Mid-Merit Operating Period

16.2.1 For Existing Facilities, the Winning Bidder shall offer at minimum stable load or Pmin, unless otherwise instructed by the System Operator.

16.2.2 For New-Build Facilities, the Winning Bidder shall not be required to offer or operate during the Non-Mid-Merit Operating Period, except when covered by a valid redispatch instruction from the System Operator or as otherwise allowed under the ERC-approved Settlement Mechanism.

Any dispatch or redispatch during the Non-Mid-Merit Operating Period shall remain subject to the instructions of the System Operator.

The Winning Bidder shall maintain the necessary nomination, scheduling, dispatch, redispatch, metering, and settlement records to support validation of compliance with this TOR and the ERC-approved Settlement Mechanism.

17. SETTLEMENT OF THE AWARDED GAS CAPACITY AND ENERGY

17.1 Existing Facilities

Subject to ERC-approved Settlement Mechanism, WESM Rules, and applicable dispatch and settlement protocols, the Awarded Gas Capacity and energy for existing facilities, delivered during:

17.1.1. The actual energy generation during the Mid-Merit Operating Period shall be settled based on the GAP and Fuel Cost.

17.1.2. The Non-Mid-Merit Operating period shall be paid as applicable, based on the Fuel Cost. The actual energy generation beyond the specified delivery hours in Section 1.1 may be paid subject to the applicable provisions of the WESM Rules and Market Manuals.

17.2 New-build Facilities

Subject to ERC-approved Settlement Mechanism, WESM Rules, and applicable dispatch and settlement protocols, the Awarded Gas Capacity and energy for new-build facilities, delivered during the Mid-Merit Operating Period shall be settled based on the GAP and Fuel Cost. The actual energy generation during the Non-Mid-Merit Operating period may be paid subject to the applicable provisions of the WESM Rules and Market Manuals.

18. GAP ENTITLEMENT

18.1 General GAP Entitlement and Settlement Commencement

Payment based on the GAP shall commence only upon compliance with the applicable requirements, including the issuance of a COC or PAO by the ERC, notice of commercial operations in the WESM and satisfaction of the conditions prescribed under this TOR.

The following rules shall govern entitlement to the GAP:

No.	Scenarios	Entitlement to the Gas Auction Price (GAP)
1.	COD falls earlier than the DCY. (Ex. DCD – Nov 30, 2027 COD – July 31, 2026 DCY – 2027) Winning Bidder shall be paid the market price from July 31, 2026 to Dec 31, 2026. Winning Bidders shall be paid the GAP starting from the date indicated in the notice which shall be any date from January 1, 2027 to November 29, 2027.	• Prior to the DCY, settlement to the Winning Bidder shall be based on the actual energy generated and duly metered, in accordance with the WESM Rules. • Upon the DCY, settlement to the Winning Bidder may be based on its GAP upon written notice of GAP availment submitted by the Winning Bidder to the DOE and the Market Operator. The Supply Delivery Period shall be reckoned from the date specified in the notice, which date shall be after COD and within the DCY, subject to DOE validation that the Winning Bidder has no legal impediment to deliver the Awarded Gas Capacity from the date of GAP availment.
2.	COD falls before the DCD but within the DCY. (Ex. DCD – Nov 30, 2026 COD – July 31, 2026 DCY – 2026) Winning Bidder shall specify in the notice the start of availment of GAP which shall be any date from July 31, 2026 to November 29, 2026.	Settlement to the Winning Bidder may be based on the GAP upon written notice of GAP availment submitted to the DOE and the Market Operator. The Supply Delivery Period shall be reckoned from the date specified in the notice, which date may be prior to the DCD but shall be after COD and within the DCY, subject to DOE validation that the Winning Bidder has no legal impediment to deliver the Awarded Gas Capacity from the date of GAP availment.
3.	COD is after the DCD and the delay is one (1) year or less, reckoned from the DCD. (Ex. DCD – Nov 30, 2026 COD – July 31, 2027 DCY – 2026) GAP may be availed but the Performance Security shall be partially drawn.	Settlement to the Winning Bidder may be based on the GAP beginning on the COD. However, the Performance Security shall be partially drawn in accordance with Section 132486.5.4 of this TOR, and the Supply Delivery Period shall be reckoned from the COD.

No.	Scenarios	Entitlement to the Gas Auction Price (GAP)
4.	COD is after the DCD and the delay is more than one (1) year, reckoned from the DCD.	The Winning Bidder shall not be entitled to the GAP. Its Performance Security shall be drawn in full, and the COA, and other documents issued in favor of the Winning Bidder shall, after due notice, be deemed revoked pursuant to Section 13.5.5 of this TOR.

If a Winning Bidder does not give written notice of GAP availment, such Winning Bidder shall be settled only for the actual energy generated and delivered in accordance with the WESM Rules.

From the date of issuance of the PAO or COC, the amount payable to a Winning Bidder shall correspond to its GAP in PHP/kWh, subject to the ERC-approved Settlement Mechanism and the applicable provisions of DOE DC No. DC2026-06-0013. Winning Bidders shall ensure that the cost and tariff structure provided thereunder are considered in their commitments under the Gas Auction.

18.2 Partial GAP Availment for Partially Completed NatGas Facilities

Where a NatGas Facility has been partially completed such that a completed portion Commercial Operation and is capable of generating and delivering electricity to the Grid, the Winning Bidder may avail of the GAP with respect to the corresponding portion of its Awarded Gas Capacity that can be delivered by such completed portion of the NatGas Facility, provided that all applicable technical, commercial, regulatory, and operational requirements under DOE DC No. DC2026-06-0013, this TOR, the GAIG, the COA, the applicable Settlement Mechanism, WESM Rules, ERC issuances, and other applicable laws, rules, and regulations have been satisfied.

GAP entitlement shall apply only to the portion of the Awarded Gas Capacity corresponding to the partially completed and commercially operational portion of the NatGas Facility, as validated by the DOE. The remaining Awarded Gas Capacity shall become eligible for GAP only upon the subsequent Commercial Operation of the remaining portion of the NatGas Facility and compliance with all applicable requirements.

The Supply Delivery Period for the Awarded Gas Capacity shall commence on the date of the Winning Bidder's initial GAP availment, as indicated in the Notice of GAP Availment and validated by the DOE in accordance with the applicable Settlement Mechanism. Where the Winning Bidder subsequently avails of the GAP for additional portions of the Awarded Gas Capacity arising from the completion of the NatGas Facility, such subsequent availments shall not give rise to a new or separate Supply Delivery Period and shall instead form part of the same Supply Delivery Period reckoned from the date of the initial GAP availment.

18.3 GAP Adjustment for Lot 1 during the Extension Period

All Winning Bidder for Lot 1 may request for the five-year extension of its Awarded Gas Capacity, provided retrofitting, upgrading, or related improvement is completed before the expiration of the originally awarded five-year Supply Delivery Period. Upon the DOE's approval and award of the extension, the Winning Bidder shall file with the ERC the approval of the GAP adjustment under the applicable GAT Price methodology and ERC-approved Settlement Mechanism.

The Winning Bidder shall submit to the DOE, through the NGAC, the relevant documents supporting the requested extension, including the scope of works, implementation schedule, cost breakdown, technical justification, completion report, test results, commissioning records, and other documents necessary to establish that the retrofitting, upgrading, or capital improvement directly supports the continued reliable delivery or availability of the Awarded Mid-merit Gas Capacity. Accordingly, the corresponding Mid-merit Operating Period shall strictly apply, within which, the Winning Bidder shall ensure the delivery of the capacity and energy, as indicated in the Notice of Award for the extension period.

Any GAP adjustment shall not be automatic and shall apply only upon approval by the ERC. The adjustment, if approved, shall be applied prospectively and shall not result in double recovery of costs already recovered through the original GAP, Fuel Cost, WESM settlement, or any other applicable recovery mechanism.

The undertaking of retrofitting, upgrading, or related capital improvement shall not, by itself, guarantee the extension of the Supply Delivery Period, which shall remain subject to evaluation by the NGAC and prior approval of the Secretary.